Delta Air Lines (NYSE: DAL)

Equity Research & Valuation Note | Model date: October 19, 2026 | 12-18 month horizon

HOLD / NEUTRAL	$74.63	$80.34	7.7%
Investment View	Market Price	Base Fair Value	Implied Upside

Investment Summary

Core debate: Can Delta's strong pricing, premium demand and diversified high-margin revenue streams offset elevated fuel prices and non-fuel unit-cost inflation?

- **Revenue momentum is strong.** Management guides Q4 2026 total revenue growth of approximately 20% year over year while seats are expected to grow less than 2%, indicating significant unit-revenue improvement.
- **Mix quality is improving.** Premium, loyalty, cargo and MRO revenues are expanding faster than core main cabin revenue. Premium revenue grew 18% year over year in Q3 2026.
- **Margins remain under pressure.** The model assumes a 7.1% operating margin in 2026E versus 9.2% in 2025A as fuel and non-fuel costs absorb much of the revenue improvement.
- **Valuation is not yet compelling enough for a high-conviction Buy.** The base-case FCFE DCF implies approximately $80.34 per share, only 7.7% above the $74.63 market price used at the model date.

Key Forecasts

Metric	2025A	2026E	2027E	2028E
Revenue ($mm)	63,364	75,001	78,751	81,901
Operating margin	9.2%	7.1%	9.0%	10.0%
Diluted EPS ($)	7.66	5.13	7.28	8.65
Free cash flow ($mm)	3,843	2,500	3,544	4,095

2026E framework: Q4 revenue is modeled from management's approximately 20% year-over-year guidance. Full-year pre-tax income is anchored to management's roughly $4.5 billion outlook, while free cash flow is anchored to approximately $2.5 billion.

Historical Performance & Operating Drivers

Delta grew revenue from $58.0 billion in 2023 to $63.4 billion in 2025 while maintaining operating income above $5.5 billion in each year. 2025 diluted EPS was $7.66 and model-defined free cash flow (operating cash flow less capital expenditures) was $3.84 billion.

Financial Metric ($mm except EPS)	2023A	2024A	2025A
Revenue	58,048	61,643	63,364
Operating income	5,521	5,995	5,822
Operating margin	9.5%	9.7%	9.2%
Net income	4,609	3,457	5,005
Diluted EPS ($)	7.17	5.33	7.66
Operating cash flow	6,464	8,025	8,342
Capital expenditures	5,323	5,140	4,499
Model FCF	1,141	2,885	3,843

Airline KPI Trend

Operating KPI	2023A	2024A	2025A	9M26A
RPM (mm)	232,241	246,145	249,578	191,369
ASM (mm)	272,033	288,394	298,045	227,145
Load factor	85%	85%	84%	84%
Passenger yield	21.06c	20.68c	20.74c	22.70c
PRASM	17.98c	17.65c	17.37c	19.13c
TRASM	21.34c	21.37c	21.26c	24.56c
CASM	19.31c	19.30c	19.31c	22.88c
CASM-Ex	13.17c	13.54c	13.86c	14.39c
Fuel price / gal	$2.82	$2.57	$2.30	$3.44

The key 2026 operating change is pricing versus cost. For 9M26, passenger yield reached 22.70c and TRASM 24.56c, but CASM rose to 22.88c and average fuel price increased to $3.44 per gallon. This supports the model's view that revenue strength is real, but near-term earnings conversion is constrained.

Balance-sheet context: Delta has emphasized debt reduction and investment-grade balance-sheet strength. Management expects to pay down more than $2 billion of debt in 2026.

Forecast, Valuation & Scenarios

The forecast assumes 2026 revenue of approximately $75.0 billion, followed by 5% growth in 2027 and 4% in 2028. Operating margin recovers from 7.1% in 2026E to 9.0% in 2027E and 10.0% in 2028E as the model assumes moderating cost pressure and continued revenue growth.

FCFE DCF

DCF Input / Output	Value
Cost of equity	10.0%
Terminal growth	2.5%
2027E FCFE ($mm)	3,544
2028E FCFE ($mm)	4,095
PV of explicit FCFE ($mm)	6,606
PV of terminal value ($mm)	46,252
Implied equity value ($mm)	52,858
Implied value / share	$80.34

Bull / Base / Bear

Scenario	Bear	Base	Bull
2027 revenue growth	2.0%	5.0%	7.0%
2028 revenue growth	2.0%	4.0%	5.0%
2028 FCF margin	4.0%	5.0%	6.0%
Cost of equity	11.0%	10.0%	9.0%
Terminal growth	2.0%	2.5%	3.0%
Fair value / share	$51.16	$80.34	$123.66
Upside / (downside)	(31.5%)	7.7%	65.7%

Interpretation: Scenario dispersion is wide because airline equity values are highly sensitive to margins, free cash flow, cost of equity and terminal assumptions. The base case offers modest upside, while the bear case demonstrates meaningful downside if cost pressure remains elevated.

Scenario Fair Value / Share

Investment Thesis, Catalysts & Risks

Why the thesis can work

- Premium demand and loyalty monetization can support higher-quality revenue and improve resilience versus a purely fare-driven model.
- Capacity discipline combined with strong demand can sustain unit-revenue growth even with limited seat growth.
- Fuel-price normalization would have a meaningful positive impact on earnings because fuel remains one of Delta's largest operating expenses.
- Continued debt paydown and investment-grade balance-sheet improvement can reduce financial risk and support valuation.

What can break the thesis

- Q4 2026 guidance assumes an all-in fuel price of approximately $4.25 per gallon; persistently high fuel could delay margin recovery.
- Non-fuel CASM remains elevated, with Q3 2026 CASM-Ex up approximately 7% year over year.
- Airline demand, fares and capacity are cyclical and sensitive to macroeconomic conditions and competitive behavior.
- The DCF is highly sensitive to cost of equity, terminal growth and normalized FCF margins, as shown by the $51-$124 scenario range.

Conclusion

HOLD / NEUTRAL. Delta has strong demand, an improving revenue mix and a clear balance-sheet strategy, but elevated fuel and non-fuel costs reduce near-term earnings conversion. At the model-date price of $74.63, the base-case fair value of $80.34 implies only modest upside. A more attractive entry point would require either lower valuation or clearer evidence that margin normalization is arriving faster than expected.

Sources & Methodology

Source	Primary Use
Delta Air Lines 2025 Form 10-K (FY ended Dec. 31, 2025)	2023-2025 financial statements; 2024-2025 operating statistics; fuel data
Delta Air Lines 2024 Form 10-K (FY ended Dec. 31, 2024)	2023 operating-statistics cross-check
Delta Air Lines Q3 2026 Form 10-Q (9M ended Sep. 30, 2026)	9M26 financial statements, cash flows and operating statistics
Delta Air Lines Q3 2026 Form 8-K / earnings release (Oct. 9, 2026)	Q4 revenue, margin, EPS, fuel and full-year FCF / pre-tax guidance
Yahoo Finance market-data cross-check used in model	Model-date share price and peer multiple reasonableness checks

Model methodology: Historical values are based on public filings. 2026E combines 9M26 actual results with management guidance and model assumptions. 2027E-2028E are analyst-style estimates created for this portfolio project. The valuation uses an FCFE DCF and scenario sensitivity analysis. Model-defined FCF is operating cash flow less capital expenditures and may differ from Delta's adjusted non-GAAP free cash flow.

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